A great deal of work in the policy process is internal reorganization of government. Cost–benefit analysis is less useful here. For an analogy, a corporation works very carefully when testing a new product that it shows customers, but it moves more with deductive logic when internally reorganizing itself.

An institutionalized application of mind

Cost–benefit analysis is thus about creating an institutionalized application of mind. It is a way of ensuring that the right questions are asked, and alternatives evaluated, before a decision is made. This helps avoid impressionistic and casual approaches to policy formulation, and reduces the extent to which sectarian considerations dominate.

For the gains to be obtained, the key decision makers must do the cost–benefit analysis themselves. Sometimes, there is the temptation to arrive at a decision in an intuitive way, and then hand out the task of writing up an attractive cost–benefit analysis to economists who have no say in the actual decision making. It is better to apply cost–benefit analysis to a group of plausible alternative interventions, and let the calculations reveal which the best intervention is.

The release of documents with cost–benefit analysis improves the policy process as independent persons will critique the assumptions and the calculations, often bringing fresh insight into the question.

In the demonetization episode, such practices would have been quite useful. It would have helped to clearly state the objective up front. It would have helped, to undertake calculations about the costs being imposed upon society. It would have helped, to ask whether there were less intrusive interventions through which the same objectives could be achieved.

Policy thinkers have emphasized the importance of formal cost–benefit analysis and ex post review for a long time. As with other aspects of deep thinking in the policy process, there is lip service and low adherence. In the hurried real world policy process, there is an extreme emphasis on